Economic Development – Questions and Analysis

Task 7

Group 20

A. Portugal's GDP per capita since 1900

Portugal's GDP per capita increased from 2,075 in 1900 to 28,992 in 2022. Growth was relatively modest before the 1950s and strongest in 1960–1970 (+85.1%), followed by 1970–1980 (+47.0%). These periods coincided with the Planos de Fomento, industrialization and greater European trade integration. The 1973 oil crisis and 1974 Carnation Revolution marked important turning points. Growth became substantially slower after 2000.

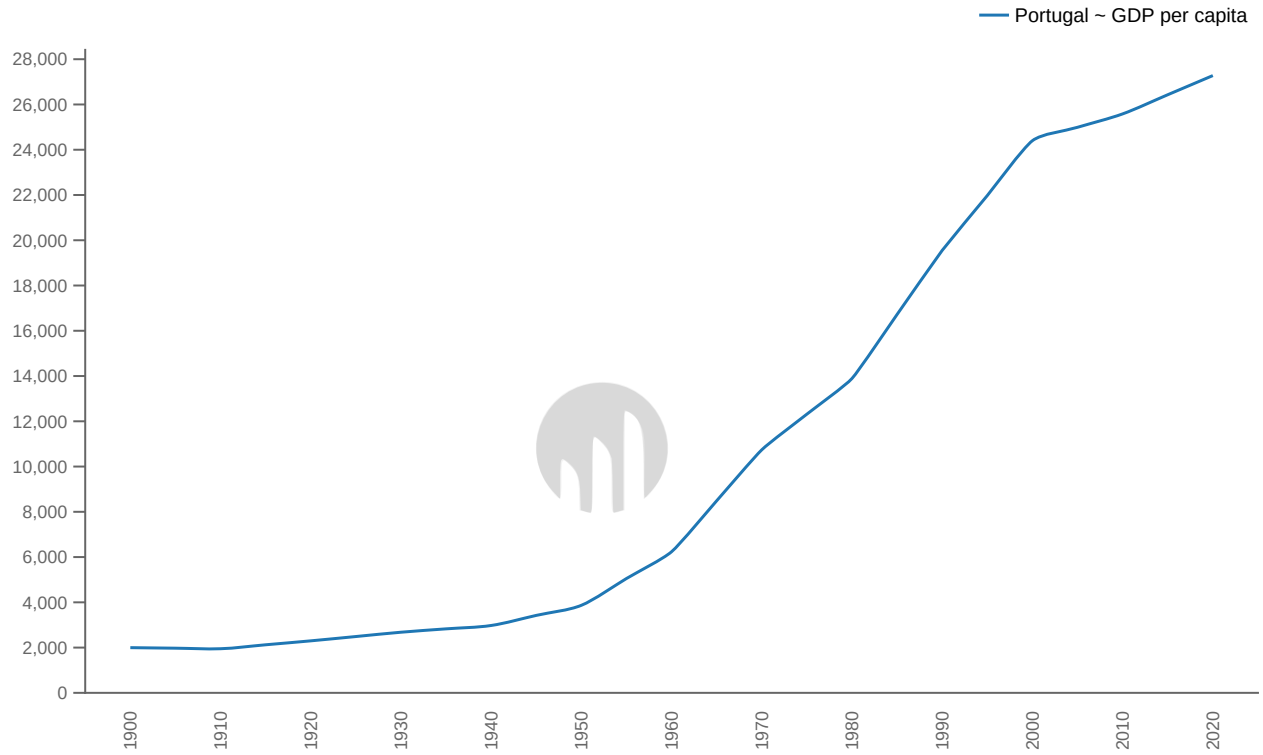


Figure A. Portugal: mean GDP per capita by decade (2020s partial).

Note: Decade-chart values are averages; the growth rates above compare the 1960, 1970 and 1980 annual observations.

B. Comparison with Western European countries

Portugal and the Western European comparison countries experienced long-term growth in GDP per capita, but Portugal remained below the group average throughout the period studied. In 2022, Portugal recorded 28,992, compared with a Western European average of 40,496. Portugal generally remained below Spain, France, Germany, Belgium, Italy and Ireland. Greece was the closest comparator in GDP per capita levels in recent decades, with Portugal consistently exceeding it from 2011 onward. Nevertheless, the gap between Portugal and the Western European average remained substantial.

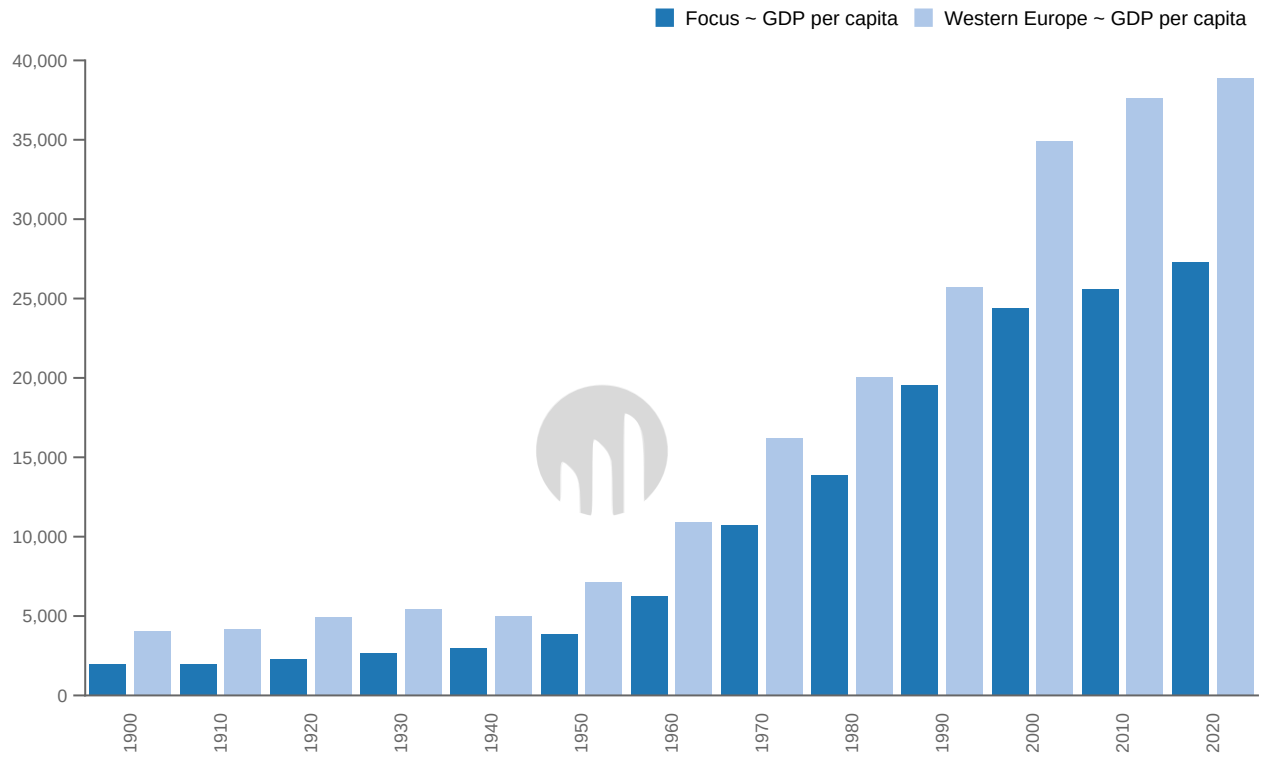


Figure B. Portugal versus Western Europe: mean GDP per capita by decade.

Note: The 2020s decade average covers only 2020–2022.

C. Convergence with Western Europe

Portugal experienced uneven but overall long-term relative convergence. Its GDP per capita rose from 53.7% of the Western European average in 1900 to 71.6% in 2022. Particularly strong convergence occurred during 1940–1946 and following EEC accession in 1986, with the ratio reaching 77.5% in 1993. It subsequently declined during much of the 2000s and early 2010s, reaching 66.7% in 2015, before recovering somewhat. These historical events provide context for the observed trends but do not necessarily establish causation.

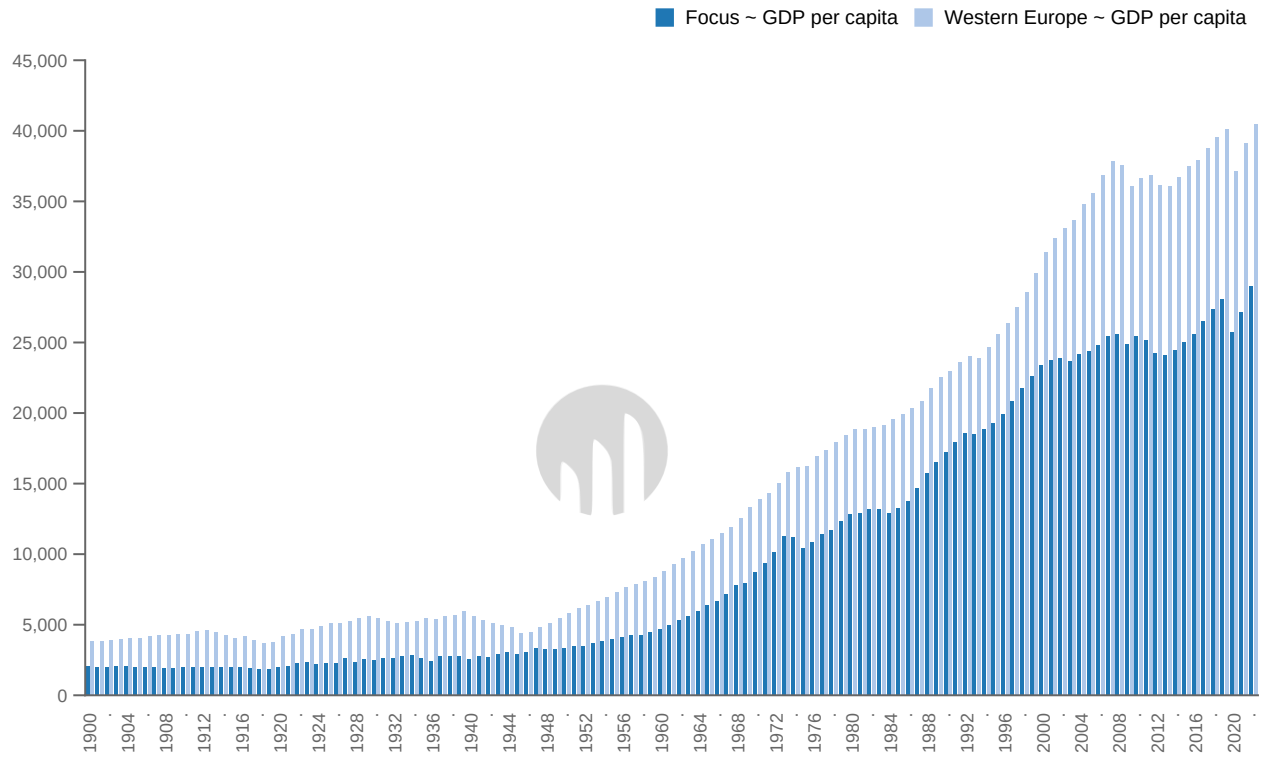


Figure C. Annual GDP per capita: Portugal and Western European average.

Note: Relative convergence is assessed using Portugal / Western Europe, not the absolute GDP per capita gap.

D. Comparison with Eastern Europe since 1990

During the 1990s, Portugal increased its GDP per capita lead over the three Post-Soviet comparison countries (Estonia, Latvia and Lithuania). From 2000 onward, their group average generally converged with Portugal, apart from a setback around 2008–2010, and overtook it in 2020. In 2022, the Post-Soviet average was 29,384, compared with Portugal's 28,992. Among all seven Eastern European comparison countries, Poland, Czechia, Hungary, Estonia and Lithuania exceeded Portugal in 2022, while Latvia and Romania remained below it.

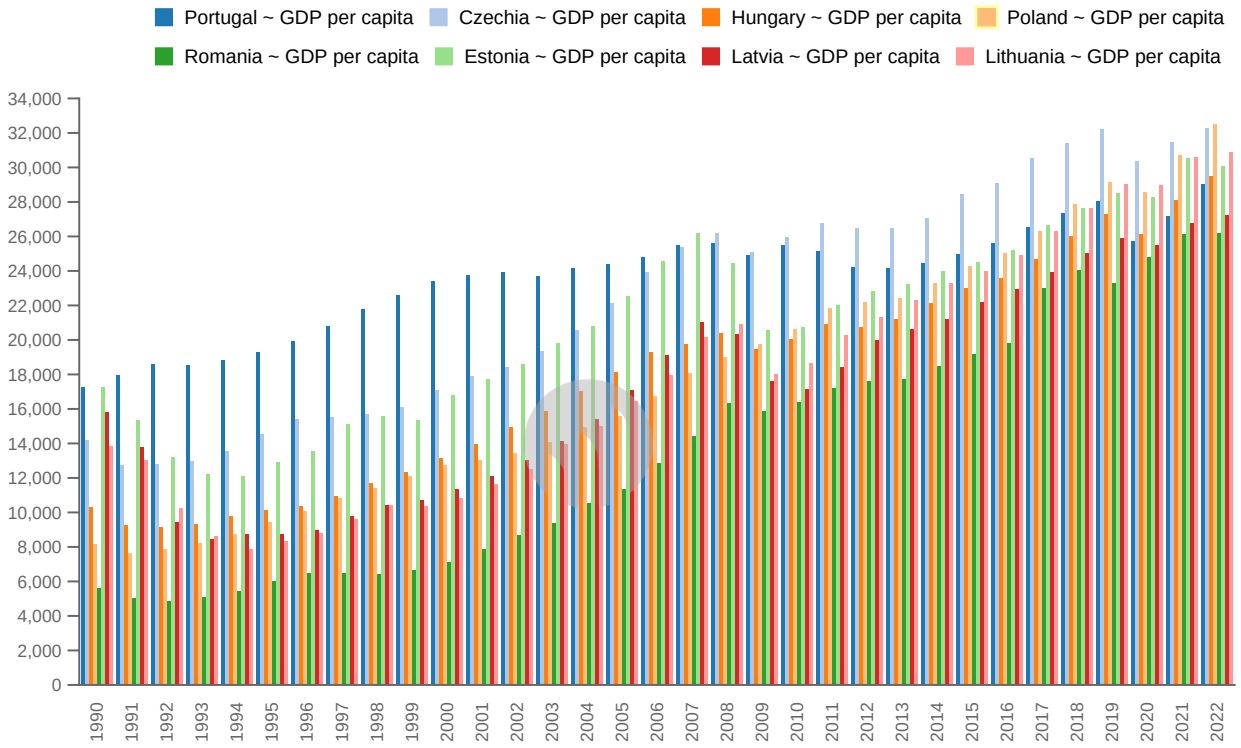


Figure D. Annual GDP per capita: Portugal and all seven Eastern European countries.

Note: Chart D is the country-by-country comparison supplied with the final materials.

All GDP per capita values are in constant 2011 international dollars (PPP); group figures are averages, not totals.